Adjustments:

(a) Outstanding salaries amounted to ₹4,000
(b) Rent paid for 11 months
(c) Interest due but not received amounted to ₹2,000
(d) Prepaid insurance amounted to ₹2,000
(e) Depreciate buildings by 10%
(f) Further bad debts amounted to ₹2,000 and make a provision for bad debts @ 5% on sundry debtors
(g) Commission received in advance amounted to ₹2,000

Solution

Dr. Profit and Loss Account for the year ended 31st March, 2017 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Rent	22,000		By Gross profit b/d	-	1,00,000
Add: Outstanding	2,000	24,000	By Commission	12,000	
(22,000x1/11)			Less: Received in		
To Salaries	10,000		advance	2,000	10,000
Add: Outstanding	4,000	14,000	By Discount received		2,000
To Insurance premium	8,000		By Interest received	6,000	
Less: Prepaid insurance	2,000	6,000	Add: Accrued	2,000	8,000
To Provision for bad and					
doubtful debts (closing)	1,900				
Add: Bad debts	3,000				
Add: Further bad debts	2,000				
	6,900				
Less: Opening provision for					
bad and doubtful debts	4,000	2,900			
To Depreciation on building		8,000			
(80,000x10%)					
To Net profit (transferred to					
capital A/c)		**65,100**			
		1,20,000			1,20,000

Working Note:

Debtors	: 40,000
Less: Further bad debts	: 2,000
	38,000

Provision for bad and doubtful debts at 5% : 38,000 x 5% = ₹1,900

Illustration 10

From the following balances as on 31st December, 2017, prepare profit and loss account.

Accountancy Unit-13.indd 298 12/12/2021 6:23:07 PM